

**Time:** 5 minutes**Outcome:** Recognize when equivalent choices produce different decisions because of their description.**Difficulty:** ●●○ Intermediate

Framing Effects



THE CORE IDEA

A framing effect occurs when presenting economically equivalent information in different ways changes choice. A gain frame and a loss frame can draw attention to different features even though the underlying outcomes are the same or nearly the same.



HOW TO RECOGNIZE IT

- First verify that the underlying outcomes are economically equivalent or nearly equivalent.
- Compare gain wording with loss wording, such as survival versus mortality.
- Equivalent discounts and surcharges can also create different reactions through framing.
- A changed choice caused by presentation, rather than outcomes, is the diagnostic clue.



WATCH OUT

Framing requires equivalent underlying alternatives. If costs, probabilities, or consequences actually differ, a different choice may be rational rather than a framing effect.



WORKED EXAMPLE: SURVIVAL VERSUS MORTALITY

DIAGNOSE

- equivalent outcomes
- presentation
- gain frame
- loss frame
- choice reversal

A treatment is described to one group as having a 90% survival rate and to another as having a 10% mortality rate. The probabilities describe the same outcome. If acceptance changes merely because one statement emphasizes survival and the other emphasizes death, the wording—not an economic difference—changed choice. That response is a framing effect.



CHECK YOURSELF

A fee is described either as a \$5 surcharge or as losing a \$5 discount. If the net price is identical, what mechanism may change choice?

**READY?**

Return to the game and master this concept.